

In the same way, when you enter a currency future you are long one currency and short the other. There are many available currency futures and quite a few of them are very liquid. The spreads are very tight and often better than on the forwards. The currency markets are the most liquid in the world and the spot market can swallow just about any volume. This is highly useful for very large CTA funds that tend to trade a large portion of their funds in currencies when they get so big that it is getting difficult and expensive to move positions in many other markets. If you study the asset allocation of the extremely large trend followers with assets in the billions, you will find that they have the bulk of their money in the currency markets.

Many currency futures are crosses against the USD and if only one currency is named, it is implied that it is against the USD (see Table 2.4). Therefore, the CHF future is a bet on the exchange rate between the CHF and the USD. There are also a growing number of non-USD crosses, such as the Euro/Yen future and so on. This sector offers some interesting diversification possibilities if you use these types of crosses. Always be aware of the danger of stacking up USD risk and be sure to monitor the risk you are taking here. If you are long the euro future, long the CHF future, the yen future, the British pound future and the Aussie future, you are really just short dollar and when the dollar recovers, you get hit on all positions at once. Taking these positions may still at times be a good idea, just as long as you are aware of the risk and model it properly so you know what to expect when things turn against you.

TABLE 2.4 Currency futures

Name	Point value	Unit	Currency	Exchange
AUD/USD	100,000	AUD	USD	CME
GBP/USD	62,500	GBP	USD	CME
EUR/USD	125,000	EUR	USD	CME
CAD/USD	100,000	CAD	USD	CME
JPY/USD	1,250	Million JPY	USc	CME
NZD/USD	100,000	NZD	USD	CME
NOK/USD	200,000	NOK	USD	CME
ZAR/USD	500,000	RND	USD	CME
SEK/USD	200,000	SEK	USD	CME
CHF/USD	125,000	CHF	USD	CME
EUR/CHF	125,000	EUR	CHF	CME
EUR/GBP	125,000	EUR	GBP	CME
EUR/JPY	125,000	CHF	JPY	CME